

7. LEGAL SUBJECTS

INTRODUCTION TO THE LEGAL SYSTEM

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Prof. Pietro Sirena



Un. 7

Sirena, *Introduction to Private Law*, 3rd edition

1. LEGAL SUBJECTS

2. LEGAL PERSONALITY AND CAPACITY TO ACT

3. NATURAL PERSONS

4. LEGAL ENTITIES



Università
Bocconi
MILANO



Università Commerciale
Luigi Bocconi

LEGAL SUBJECTS

Legal rules impose duties upon and assign competences and rights to **legal subjects**



Two main categories of legal subjects



1) Human beings:
NATURAL PERSONS



2) Artificial entities –
groups, organizations, etc.:
LEGAL PERSONS

LEGAL SUBJECTS

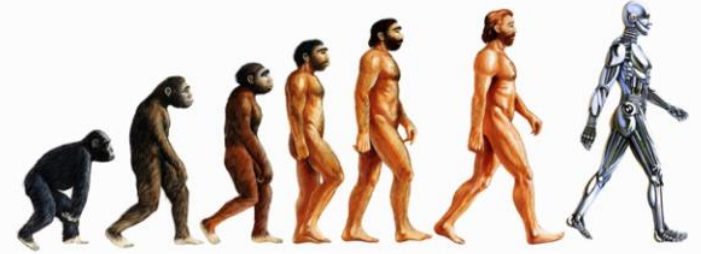
Human beings have a right to privacy, freedom of expression, freedom of religion and a right to physical integrity...



...not all of these rights make equal sense in case of legal entities (e.g., physical integrity)

LEGAL SUBJECTS

What about animals?



§ 90a BGB *Animals*: «**Animals are not things.** They are protected by special statutes. They are governed by the provisions that apply to things, with the necessary modifications, except insofar as otherwise provided».

LEGAL SUBJECTS

What about robots?

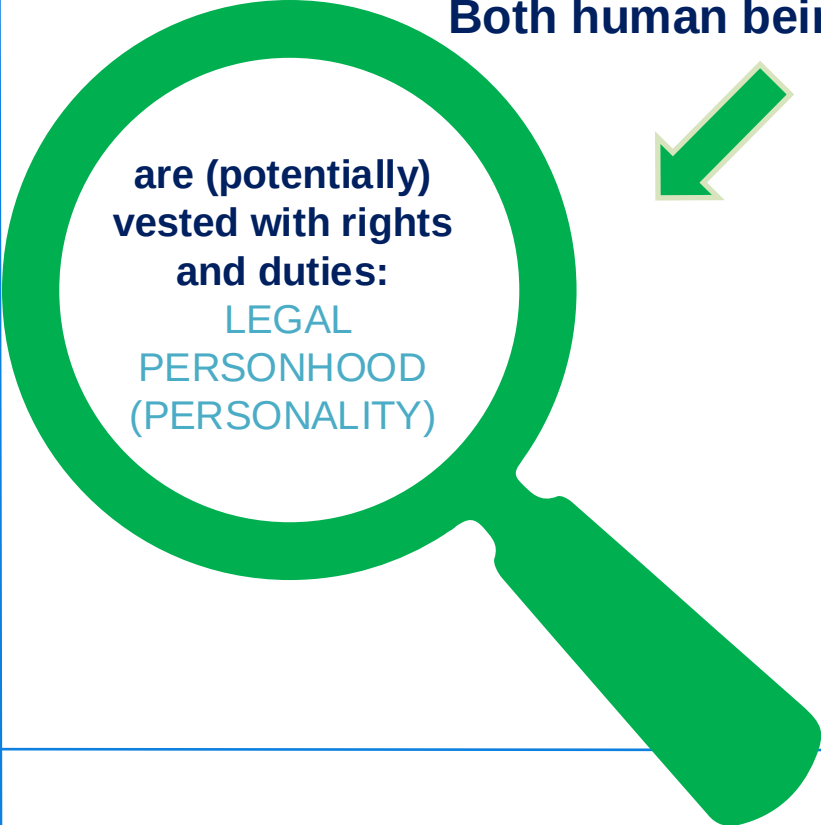
What about autonomous cars?

What about AI?



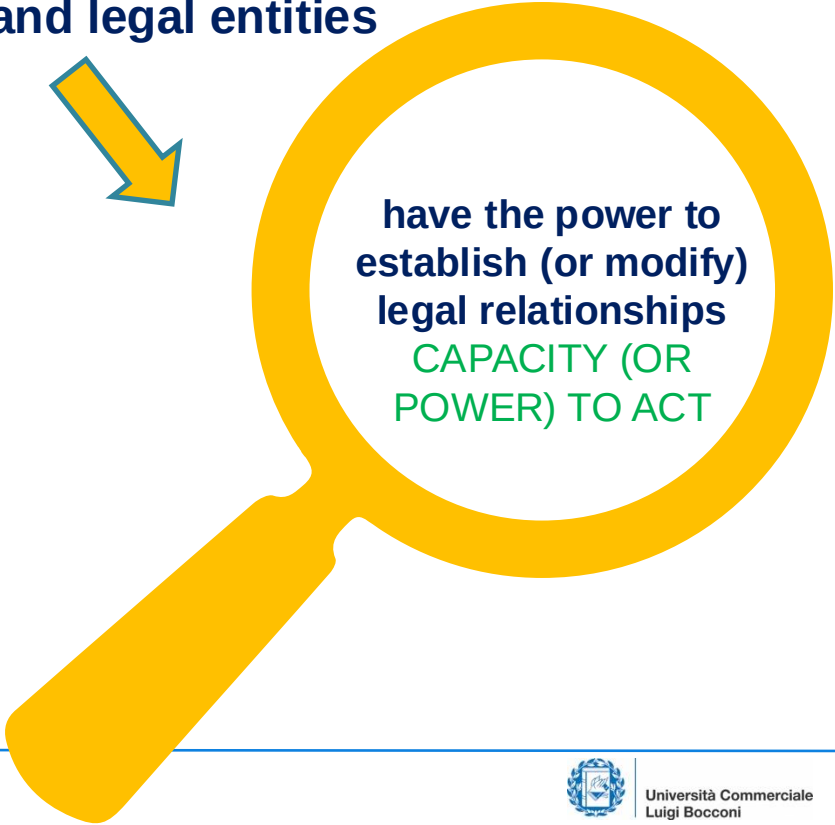
LEGAL PERSONALITY (PERSONHOOD) AND CAPACITY TO ACT

Both human beings and legal entities



are (potentially)
vested with rights
and duties:

LEGAL
PERSONHOOD
(PERSONALITY)



have the power to
establish (or modify)
legal relationships

CAPACITY (OR
POWER) TO ACT

NATURAL PERSONS

Sirena, *Introduction*,
chapter 11, para 1.1



- Human beings may generally be the holders of rights since birth (only in very few legal systems since conception)
- When natural persons die, most of their (patrimonial) rights (e.g., property) and duties (e.g., most debts) go into probate, except some which shall cease (e.g., rights of personality)

EMBRYOS AND FETUSES

- Embryos and fetuses are generally not considered as natural persons (being not yet born)
- It is thus settled a basis for constitutional legitimacy of abortion:

US Supreme Court (Roe v Wade, 1973): “the word ‘person’ as used in the Fourteenth Amendment of the US Constitution does not include the unborn”



RIGHT OF ABORTION

DOBBS v. JACKSON WOMEN'S HEALTH ORGANIZATION (US Supreme Court)



The Constitution does not confer a right to abortion

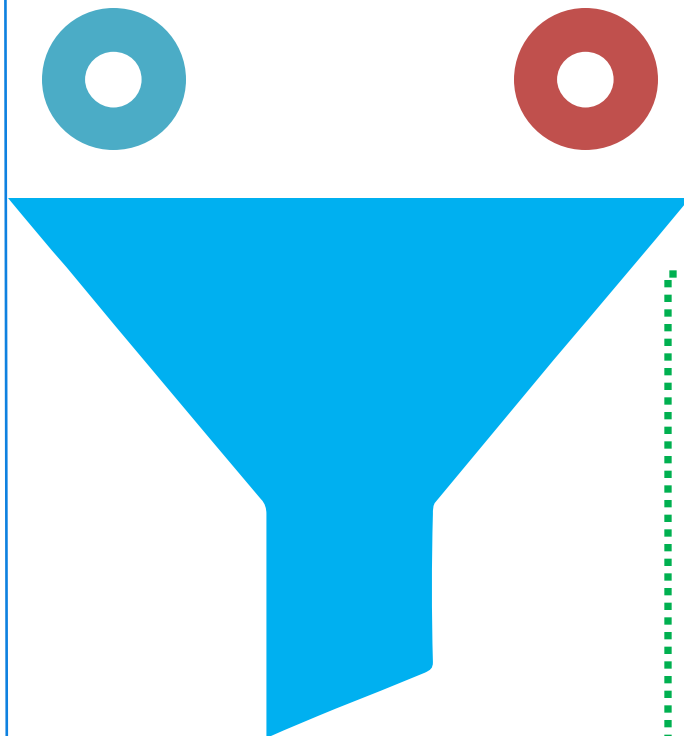
Roe and Casey are overruled

the authority to regulate abortion is returned to the people and their elected representatives



Roe held that the abortion right is part of a right to privacy that springs from the First, Fourth, Fifth, Ninth, and Fourteenth Amendments

EMBRYOS AND FETUSES



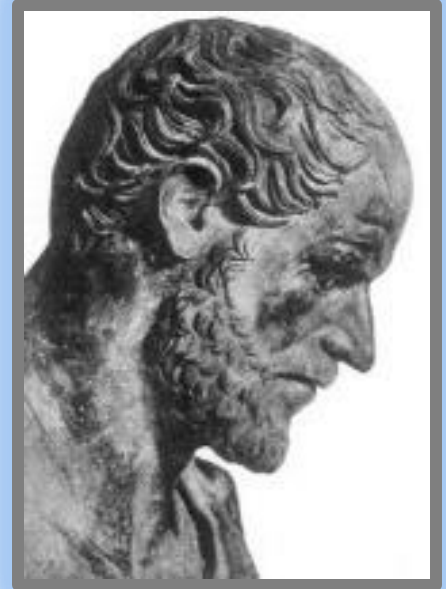
Nonetheless, embryos and fetuses are vested with specific rights:

- to health
 - wrongful birth
- to heirship

NATURAL PERSONS

According to Aristotle's *Politics* (Book I), slavery belongs to natural law

“those who are as different [from other men] as the soul from the body or man from beast—and they are in this state if their work is the use of the body, and if this is the best that can come from them—are slaves by nature. For them it is better to be ruled in accordance with this sort of rule, if such is the case for the other things mentioned” (Aristotle, *Politics*, 1254b16–21)

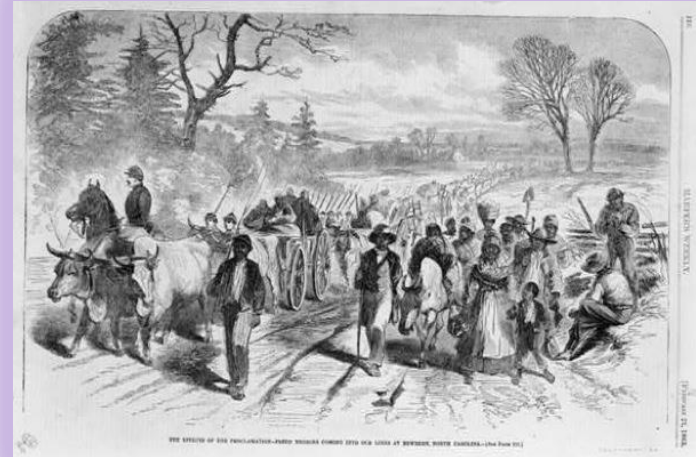


NATURAL PERSONS

In the past, slaves did not have legal personality:

e.g., *Lenoir vs. Sylvester* (North Carolina, 1830): Does a slave have the capacity to accept a gift?

“... a legacy cannot be given to a slave; for he can have no right, whatever, which does so, the instant it is transferred to him, pass to his master. Every thing which belongs to him, belongs to his master. In other words, he is in law himself chattels personal; and it would be absurd to say, that property can own property ...”



MINORS

Natural persons attain the (legal) capacity (power) to act when they reach their majority (mostly upon turning 18 years of age, but it may vary from 15 to 21 years in different jurisdictions)

- Therefore, minors lack by definition the capacity (power) to act, and particularly, to enter into a valid contract, to make a valid will, to contract valid marriage
- If they earn **emancipation** (by a court), however, they acquire a partial capacity to act (marriage and acts of ordinary administration)

LEGAL REPRESENTATIVES

In civil law jurisdictions, legal representatives hold the power to enter into (patrimonial) legal transactions on behalf of minors or of incapacitated adults (the wards)

- A **minor**'s legal representatives are her parents, whose both consent is required for acts of extraordinary administration on their child's behalf. In case her parents are missing or incapacitated themselves, a minor is legally represented by a ward appointed at court.
- An **incapacitated adult** is legally represented by a guardian or conservator, or by a support administrator, or by a trustee appointed at court.
- Legal representatives act as statutory proxies (or agents) of their child or ward.
- Legal representatives are controlled by a court, whose previous authorization is required for some major acts of extraordinary administration on their child's or ward's behalf.

COMMON LAW JURISDICTIONS

Common law jurisdictions traditionally do not acknowledge any legal representative of minors or incapacitated adults

representative of minors or incapacitated adults

Courts can appoint a **deputy** (whether a parent or a friend) to act case-by-case on behalf of a minor or an incapacitated adult.

LEGAL ACTS BY A MINOR

In most jurisdictions a threshold of age is settled (7 years generally), under which contracts entered by a minor are null and void.

Above that threshold of age, contracts entered by a minor are valid, provided that they meet some special requirements, which are variously set forth in different jurisdictions (**limited contractual capacity**) (s. the next slide).



To conclude certain legal transactions (like marriage or employment contracts) a minor age suffices (generally set out in 16 years), although a court declaration may be requested at that purpose (**emancipation**)



MINORS

Sirena, *Introduction*,
chapter 11, para 2.1.1

Can a minor sign a valid contract to buy a smartphone?



Italy: **Art. 2 Codice civile** is not applied by courts to *atti minuti della vita quotidiana*, i.e., small transactions of daily life.

France: **Article 1148 Code civile** stipulates that all persons lacking the capacity to act can nonetheless perform the ordinary acts authorized by the law or according to usage, provided that their terms are reasonable. **Article 1151(1) Code civile** sets forth that the acts of ordinary administration undertaken by a minor may be avoided if they amount to an economic disadvantage.

Germany: **§ 110 BGB** (so-called *Taschengeldparagraph*, i.e., pocket money paragraph) stipulates that a minor's contract is valid if she can perform her part of it with means provided specially or generally by her legal representative or by some third party with the representative's consent.

INCAPACITIES OF ADULTS

Protective incapacities

- Impaired or disabled adults (via judicial procedures of incapacitation, or judicial appointment of a support administrator of their affairs)
 - The incapacity may be either complete or partial, depending on the seriousness of their pathology

Punitive incapacities

- Legal disabilities (disqualification)
 - convictions for committing a serious crime can automatically include a legal disability (disqualification) for duration of sentence (forfeiture of offices, etc.)
 - offenders thus convicted generally maintain the capacity to get married and to make a will

LEGAL ACTS BY AN INCAPACITATED ADULT

- Contracts entered into by an incapacitated adult are invalid in the same terms as those entered into by a minor (see above)
- As with contracts entered into by a minor, therefore, legal systems tend to set forth some special requirements under which contracts entered into by an incapacitated adult are deemed valid (if they relate to necessities, or to matters of daily life, etc.) (see above)

INCAPACITY *DE FACTO*

A legal transaction performed by an adult who (although not incapacitated *de iure*) is temporarily impaired by drunkenness, drug abuse, insanity, etc. may be avoided or repudiated by that party only provided that some strict conditions are met:

- either that the disorder was so serious that it fully negated the capacity to form contractual will,
- or, that, dealing with a contract, the counterpart was in bad faith, i.e., aware of such incapacity *de facto*

CONSUMERS

- the notion of consumer stems from economics and sociology
- it has developed an autonomous meaning in the legal domain, having become the factor triggering the application of a distinct set of rules, known as 'consumer law'



legal rationale for protecting consumers is based on the notion of market failures and inefficiencies, such as inequalities in bargaining powers between the consumer and the business and information asymmetries

- EU law
- Mandatory provisions which limit contractual freedom to protect the consumers
- In some Member States a **consumer code** has been enacted

NOTION OF CONSUMER



Despite being phrased in different ways, the vast majority of the definitions of ‘consumer’ found in EU legislation present a common core:

“a consumer is a natural person, who is acting outside the scope of an economic activity (trade, business, craft, liberal profession)”

- The vast majority of EU Member States have a single definition for the purposes of the application of consumer law (§ 13 BGB, art. 3 Codice del consumo)
- The notion of consumer does not apply to legal persons
- A particularly controversial area is that of so-called **mixed transactions** that a person concludes for both a personal and a professional purpose (solution in the DCFR: such a transaction is covered by consumer protection rules if it is concluded 'primarily' for non-professional purposes)

LEGAL ENTITIES

In the civil law jurisdictions:

- under **PUBLIC LAW** (*e.g.*, the State)
- under **PRIVATE LAW** (*e.g.*, companies limited by shares)

LEGAL ENTITIES UNDER PRIVATE LAW

- **CORPORATIONS (or LEGAL PERSONS)**
 - Completely autonomous entities, discrete personality, separate from the owners as to their management, organization, liability, etc.
- **UNINCORPORATED LEGAL ENTITIES**
 - Collections of individuals, which (to some extent) share property, organization, **liability**, etc.

RULES ON AGENCY

By its nature, a legal entity, being fictitious, can act through the agency of natural persons



- An agent who acts within the scope of authority conferred by a legal entity binds the latter in the obligations she/he creates against third parties
- In cases of defects in consent (e.g. mistake, fraud), the state of mind taken into consideration is the one of the agent (i.e. the natural person who acts on behalf of the legal entity)

NON-PROFIT ENTITIES

«Non-profit» entities are established to further a social cause (charitable, scientific, educational, etc.)

- they are (partly) exempted from taxation
- they are prohibited from distributing their income to shareholders, leaders or members

NON-PROFIT CORPORATIONS (LEGAL PERSONS)

- **Foundations**
- -corporation soles: a single incorporated office
 - e.g., The Crown
- **Associations**
- - corporation aggregates: a group of members, or partnership



CONSTITUTIONAL DOCUMENTS



MEMORANDUM OF ASSOCIATION (if required) and **ARTICLES OF ASSOCIATION**

The key constitutional documents of a company which – among others – outline its name, purpose, and corporate capital



BYLAWS

The constitutional document outlining the internal structure of the company and regulating the functions and decision-making processes of its bodies



CORPORATED BUSINESSES



- **JOINT-STOCK COMPANY/PUBLIC LIMITED COMPANY (PLC)** (mid-size and large companies)

Their ownership is divided into shares that are fully transferrable and may be listed and traded on stock exchanges (**listed companies**). PLCs cannot be managed directly by the shareholders, but are managed by directors

- **LIMITED LIABILITY COMPANY (LLC or Ltd.)**

Their shares are not tradable on stock exchanges; they can be managed directly by (some of) the shareholders

UNINCORPORATED BUSINESSES



- **GENERAL PARTNERSHIP (GP)**

Each partner can manage the business and has joint and several liability for the debts owed by the partnership.

- **LIMITED PARTNERSHIP (LP)** (private equity, hedge funds and investment funds)

General partners: (i) have exclusive decision-making powers, (ii) are the sole representatives of the partnership and (iii) are unlimitedly liable for its debts; limited partners are liable only up to the amount contributed by them.

UNINCORPORATED BUSINESSES

- **LIMITED LIABILITY PARTNERSHIP (LLP)**
(professional services firms, like law firms)

The partners, despite being involved in the management of the partnership, are not personally and jointly liable for its debts. Liable for each affair is only the partner who performs it personally.

